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BY

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To understand the meaning of Human Capital Management let us first find out the meaning of "Capital".
 *What does the word "Capital" stand for?

"Capital refers to already produced durable goods which further contribute to the production of goods and services. In simpler words, capital refers to any produced good/service which enables an individual/organization to deliver high quality output. Capital acts as a catalyst to increase productivity in organizations.

What is Human Capital (HC)?

The word "Human Capital" was introduced by A. W. Lewis in "Economic Development with Unlimited Supplies of Labour". Human capital plays a crucial role in increasing the productivity and output of an organisation.

Human Capital is defined as the collective stock of skills, attributes, knowledge, expertise of employee which further plays an integral role in increasing the productivity of the organisation as every employee in his/her tenure acquires some set of skills through his experience, exposure, trainings and so on which further increase his/her productivity eventually benefitting the organisation. Knowledge and expertise which employees develop in due course of time to further increase the productivity of organizations refer to human capital. Every employee tries his level best to sharpen his/her skills during his stint with the organisation.

*Human Capital Management (HCM):

Human capital management refers to development of human capital through regular trainings, skill development activities and retaining talented employees. An individual who strives hard for the maximum part of the day to accomplish the goals and objectives of an organization are its real assets. Machinery, capital, innovative ideas and office furniture do play an essential role in the successful running of an organization, but nothing would work out if an organization does not have employees who really think for it. Employees must develop a sense of attachment and loyalty towards the organization. From where do you think attachment comes from? Is it only money? The answer is NO. Money could be one of the factors. A feeling of loyalty towards an organization cannot develop in just one or two days. It takes time for employees to inculcate a sense of pride in working for their organization

*"My name is Olabisi and I am really proud to represent my organization – The Federal Polytechnic Mubi". This should be the feeling for one's organization. Human Capital Management is the comprehensive set of practice for managing the cost and optimizing the value received from human capital. It is also a set practices related to people resource management. These practices are focused on the organisational need to provide specific competencies and are implemented in three categories:

Workforce Acquisition, Workforce Management and Workforce Optimization.

Workforce Acquisition: - Is making talented candidates aware of new openings and ensuring that jobs posts are shared through the appropriate channels, such as social media and the that they are can easily be found via search engines'

Workforce Management: - Is to improve workplace productivity by tracking time, monitoring absence and scheduling labour by forecasting workload demand and creating clearly defined schedules.

Workforce Optimisation: - Where every action is business driven by employing workforce analytics by analysing information relating to recruitment, training and development in terms of success rate, time taken and cost, businesses have access to valuable data informing them of the strengths and weakness of the employees resources. Taken a data driven approach can also help organisations anticipate future trends rather than simply reacting to them.

CONCEPT OF HUMAN CAPITAL

*The concept includes:

Intellectual Capital, Social Capital and Organisational Capital.

Intellectual Capital: - The Intangible value of business covering of people, the value relating to it relationships and any proprietary information that may provide the company with a competitive advantage.

Social Capital: - It is the personal relationships among the persons within and outside the business structure. It helps to create a sense of shared sense of identity, norms, values, trust etc.

Organisational Capital: - Is the value to an enterprise which is derived from organization philosophy and systems. It provides the basis for inert resources such as plant, equipment and either physical assets to be efficient and productive.

*Key Components of Human Capital Management

Employees - their knowledge, experience, skills, innovative ideas, concepts are all valued possessions within an organization. An organization must understand its employees well to expect the best from them. Human capital management refers to developing strategies to hire, manage, train, develop and retain top performing employees.

Human Capital management includes the following:

Recruiting: the best available talent, Career development Plans for employees, Coaching and mentoring employees, motivate employees to deliver their level best and Developing performance management strategies.

* Key components of human capital Management are:

Clarity in Direction, Clarity in human capital goals, Strategies/Policies to accomplish already defined goals and objectives, A foolproof implementation Plan and an accountability system

Clarity in Direction

This component involves the complete understanding of an organization. It is essential to understand the budgetary constraints, vision of an organization, requirements and expectations of stakeholders, customers, senior management, needs of current workforce to achieve a clear strategic direction.

Discuss and collect data from stakeholders, customers, employees to understand their needs and expectations. It will help you define the vision of an organization and its workforce. Try to analyze the current state of employees and where they would exactly like to see themselves and organization two years down the line. Such an analysis will help you understand the gaps in the system.

Clarity in Human Capital Goals

Understanding the gap between current and desired state helps in developing human capital goals which would not only increase the overall efficiency of employees but also make them feel attached towards the organization. Set human capital goals such as:

Only the best talent should be hired, Developing realistic induction programs for new employees, Continuously develop skills of workforce in line with the requirements and Retaining hard working and dedicated employees.

Strategies/Policies to Accomplish Already Defined Goals and Objectives

The next step once goals and objectives are set is to design strategies and policies to achieve the same. Human resource professionals should design long term plans to ensure employees are satisfied with their jobs and deliver their level best.

Delegate responsibilities to employees as per their skills, educational qualification, expertise and interest areas. Assign a team leader. Team Managers should take proper feedbacks from team members to monitor their performances. Know what your team members are up to? Managers must interact with their team members on a regular basis to understand their expectations from the system and also to keep a track on their growth in the organization.

Implementation Plan includes the actions and steps required to implement human capital plans.

Successful implementation plans include:

Allocating a responsible resource for the same, setting a timeframe/deadline for implementing human capital plans and Allocating budgets for the same.

Accountability System

No process or plan is successful unless and until it is managed well. It is essential to keep a track. Accountability system involves measuring the success and failure of an implemented plan. It also helps you to analyze the loopholes in the plan (if any) and ways to rectify the same.

FACTORS INFLUENCING HUMAN CAPITAL MANAGEMENT

- Leadership Practices, Employee Engagement, Knowledge Accessibility, Workforce Optimization and Learning Capacity

Leadership Practices

Communication: - Employees must be treated well by them to develop a feeling of attachment and loyalty towards the organization. Managers must understand that their role is not just to sit in closed cabins and impose ideas on others. They ought to communicate well with their subordinates. Employees must have an easy access to the senior management. Communication from management to employees also known as Top down communication is essential for the employees to be aware of their goals and objectives and for them to know what is expected out of them.

Inclusiveness: - Management ought to sit with employees on a common platform to invite suggestions and feedbacks from them.

Supervision: - Senior executives and management must reduce the various levels of hierarchy between them and employees. Management must interact and motivate the employees from time to time for them to give their level best.

Leadership: - Senior executives should support, lead and influence the workforce so that they contribute effectively towards the organization.

Employee Engagement

Key Responsibility Areas: - Key responsibility areas of an individual should be designed in line with his education, skills, expertise, experience and also area of interest. This way, work never becomes a burden for him.

Commitment: - Outstanding efforts of employees must be acknowledged for them to feel motivated and work harder even next time. Employees performing well ought to be suitably rewarded and appreciated in front of others.

Time: - Time management ensures that no employee is overburdened. Responsibilities must be equally shared among employees.

Evaluation: - Employee engagement must be evaluated from time to time by the top management.

Knowledge Accessibility

Information Availability: - Employees must have an easy access to all relevant information required to perform their duties. Organizations must organize various training programs (In house Trainings or Out sourced trainings) to constantly upgrade the existing skills of employees and acquaint them with new learnings.

Team Work: - Employees must be motivated to work in teams rather than working alone.

Information Sharing: Encourage employees to share information with each other.

Workforce Optimization

Work processes: - Senior management must define work processes of employees well for maximum productivity.

Working Conditions: - An organization needs to provide excellent working conditions to the employees to expect the best out of them.

Accountability: - Individuals must be held accountable for their work. Get a commitment from employees and nothing like it, if everything is in writing.

Hiring: - Individuals responsible for talent acquisition must ensure that they hire the right candidate for the right role. Design a strong induction program for all the newly joined employees.

Performance Management: - Employee's performance needs to be strongly monitored and managed.

Learning Capacity

Innovation: - New ideas should be welcome. Employees must be encouraged to come out with new and innovative ideas which might benefit the organization.

Training: - Trainings must be practical/relevant and designed to sharpen the skills of employees. Do not design training programs just for the sake of it. They must benefit the employees.

Career Development: - Employees must be aware of their growth plan in the organization.

Learnings: - New learnings should be valued by all in the organization.

IMPORTANCE OF HUMAN CAPITAL MANAGEMENT IN ORGANISATION

Employees. Individuals who spend maximum part of their day contributing towards the success of an organization are its most crucial resource. Employees can either make or break an organization, truly making them an organization's lifeline.

Human Capital management plays an important role in increasing the efficiency of employees. Individuals are in a position to contribute more towards the system eventually increasing the overall productivity of the organization.

Hiring the right talent, orienting him/her to the organization, making a new employee feel comfortable, Training employees in order to constantly upgrade their skills, retaining employees, making employees self-sufficient and prepare them for adverse conditions and Human Capital management helps in developing skills of employees which help them stand apart from the rest.

OBJECTIVES OF HUMAN CAPITAL MANAGEMENT (HCM)

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Objectives are pre-determined goals to which individual or group activity in an organisation is directed.

Objectives of personnel management are influenced by organisational objectives and individual and social goals. Institutions are instituted to attain certain specific objectives. The objectives of the economic institutions are mostly to earn profits, and of the educational institutions are mostly to impart education and / or conduct research so on and so forth. However, the fundamental objective of any organisation is survival. Organisations are not just satisfied with this goal. Further the goal of most of the organisations is growth and / or profits.

1. To create and utilize an able and motivated workforce, to accomplish the basic organisational goals.

2. To establish and maintain sound organisational structure and desirable working relationships among all the members of the organisation.

3. To secure the integration of individual or groups within the organization by co-ordination of the individual and group goals with those of the organisation.

4. To create facilities and opportunities for individual or group development so as to match it with the growth of the organisation.

5. To attain an effective utilization of human capital in the achievement of organisational goals.

6. To identify and satisfy individual and group needs by providing adequate and equitable wages, incentives, employee benefits and social security and measures for challenging work, prestige, recognition, security, status.

7. To maintain high employees morale and sound human relations by sustaining and improving the various conditions and facilities.

8. To strengthen and appreciate the human assets continuously by providing training and development programs.

9. To consider and contribute to the minimization of socio-economic evils such as unemployment, under-employment, inequalities in the distribution of income and wealth and to improve the welfare of the society by providing employment opportunities to women and disadvantaged sections of the society.

10. To provide an opportunity for expression and voice management.

11. To provide fair, acceptable and efficient leadership.

12. To provide facilities and conditions of work and creation of favorable atmosphere for maintaining stability of employment.

Management has to create conducive environment and provide necessary prerequisites for the attainment of the personnel management objectives after formulating the following:

ACTIVITIES OF HUMAN CAPITAL MANAGEMENT

Human capital management solutions are powerful, feature-rich technology applications that help companies enhance all aspects of human resources administration and employee relationship management. Some of the key functionality of today's most popular human capital management systems includes:

- 1-Global Workforce Management: Many companies are expanding their operations around the world. Yet, cultural barriers, varying regulatory requirements, and other factors can impact workforce issues. With human capital management systems, global businesses can more effectively coordinate the administration of staff members across all disparate locations, even those that span multiple continents.
- 2-Staffing and Hiring: Finding the right candidate for each open position is crucial to the success of any business. With a human capital management system, companies can improve the way they generate and maintain job descriptions, better match desired skills and backgrounds with specific roles, and more thoroughly review applications and evaluate candidates. Additionally, human capital management can accelerate the handling of internal transfers, job changes, and promotions.
- 3-Payroll Processing: Many human capital management solutions automate payroll-related functions from end-to-end, including calculations for hourly wages or sick/vacation/personal time utilized, on-demand check or direct deposit printing, and transmission of payroll data to third-party processing firms.
- 4-Training and Education: With a human capital management application, companies can accelerate the onboarding process and help new employees get up to speed as quickly as possible by creating a variety of course materials and making them readily available via the Web. Those same training materials can also be used to expand the skill sets of existing employees, or to help current staff members acquire the knowledge they need to take on bigger roles and responsibilities. In many human capital management systems, managers can also assign courses and deadline dates, track progress, and measure the impact of training programs on job performance.
- 5-Time and Attendance Tracking: Paper time cards, manual punch cards, and other hard-copy forms are often used to track time worked. Human capital management solutions eliminate these labor-intensive processes, accelerating payroll preparation and increasing accuracy, while boosting HR staff efficiency.
- 6-Benefits Administration: The management of benefits such as medical, pension, and stock purchase plans can be cumbersome, labor-intensive, and repetitive. Human capital management fully streamlines and automates all related activities, including enrollments, amendments, beneficiary changes, and discontinuation of coverage.
- 7-Performance Management: Human capital management solutions create consistency in the way periodic performance reviews are conducted, approved, and managed. Additionally, they make the entire performance appraisal process more open and collaborative by facilitating bi-directional feedback between supervisors and employees.
- 8-Compensation Management: With human capital management, companies can promote fairness and consistency in their compensation policies, ensuring that everyone is paid fairly based on industry standards, as well as responsibilities, performance, and seniority.
- 9-Employee Self-Service: HR teams are typically small and overworked, juggling multiple priorities at any given time. That's why many human capital management solutions offer employee self-service capabilities, so workers can help themselves to basic information about policies and procedures, or complete and route simple forms such as benefit enrollment and vacation requests.
- 10-Business Intelligence: It is this component of human capital management that takes HR from a standard back-office function to a strategic operation. By allowing companies to analyze HR-related information and using it

to identify the crucial trends that impact employee satisfaction, performance, and retention, human capital management systems truly enhance workforce planning and management and create a stronger bond between the company and the employee.

ROLES OF HUMAN CAPITAL MANAGEMENT

Human resources managers oversee the most important component of a successful business a productive, thriving workforce. The role of human resource management in organisations is to organize people so that they can effectively perform work activities. This requires viewing people as human assets, not costs to the organization. Looking at people as assets is part of contemporary human resource management and human capital management.

The human capital management team suggests to the management team how to strategically manage people as business resources. This includes managing recruiting and hiring employees, coordinating employee benefits and suggesting employee training and development strategies. In this way, HC professionals are consultants, not workers in an isolated business function; they advise managers on many issues related to employees and how they help the organisation achieve its goals.

Working Together:

At all levels of the organization, managers and HR professionals work together to develop employees' skills. For example, HR professionals advise managers and supervisors how to assign employees to different roles in the organisation, thereby helping the organisation adapt successfully to its environment. In a flexible organisation, employees are shifted around to different business functions based on business priorities and employee preferences.

Commitment Building

HR professionals also suggest strategies for increasing employee commitment to the organisation. This begins with using the recruiting process or matching employees with the right positions according to their qualifications. Once hired, employees must be committed to their jobs and feel challenged throughout the year by their manager.

Building Capacity:

A HCM team helps a business develop a competitive advantage, which involves building the capacity of the company so it can offer a unique set of goods or services to its customers. To build an effective human resources, private companies compete with each other in a "war for talent." It's not just about hiring talent; this game is about keeping people and helping them grow and stay committed over the long term.

Addressing Issues:

Human resource management requires strategic planning to address not only the changing needs of an employer but also a constantly shifting competitive job market. Employee benefit packages must be continually assessed for costs to the employer. Tweaking the packages also provides an opportunity to increase employee retention through the addition of vacation days, flexible working arrangements or retirement plan enhancements. For example, in recent years many human resource professionals have oversaw the addition of preventative health components to traditional health plans for both employment recruitment and retention efforts.

JOB DESIGN

Job design is defined as a process of describing a job in terms of its duties and responsibilities; the methods to be used in carrying out the job in terms of techniques, systems, and procedures; and the relationship that should exist between the job holders and their superiors, subordinates, and colleagues.

It is also defined as a deliberate and systematic attempt to structure the technical and social aspects of work, so as to improve technical efficiency and job satisfaction.

Davis (1966) has defined job design as "the specification of the content, methods and relationships of jobs in order to satisfy technological and organizational requirements as well as the social and personal requirements of the job holder".

Goals of Job Designing:

Job designing has vital impact on the employees as well as the organization.

The main goal of designing a job are as follows:

- i. Facilitating the interest of employees towards the job and enhancing their satisfaction
- ii. Increasing employee motivation and productivity
- iii. Enhancing employees' skills by identifying their training needs
- iv. Covering the modern needs of employee participation
- v. Ensuring safer working environment
- vi. Making the communication process clear and effective in the organization
- vii. Improving the quality of working life of employees
- viii. Eliminating the unnecessary levels of supervision, checking, and control
- ix. Establishing high-level standards for customer service
- x. Minimizing cost by reducing wastage.

Guidelines for Job Designing:

The cautious framing of job design ensures that the real objectives of job design are achieved.

While designing a job, following key factors should be considered:

- i. Identifying the tasks clearly and forming natural work units
- ii. Fixing the responsibility associated with a job clearly
- iii. Allowing an appropriate provision for the autonomy of doing a work in the job design
- iv. Equipping the employees to participate in decision-making
- v. Including the details about working environment of a job
- vi. Developing interest of employees in their jobs
- vii. Presenting the timely feedback to employees on their performance
- viii. Providing timely recognition and sufficient support to employees
- ix. Establishing good relationship and open feedback channels to get effective feedback from the employees.

Importance of Job Design

Job design and work organization deal with the specifications of the content, methods, and relationships of jobs in an integrated manner to satisfy technological and organizational requirements as well as the personal needs of employees.

During the 1970s, the challenge before HRM professionals dealing with job designs was to find out how organizations achieve results in the wake of loss of productive effort resulting from industrial actions and absenteeism, increased demand for employee participation, and imposition of various employee legislations. During the 1980s a major change occurred in the working environment in the form of introduction of new technologies and a shift in the cost of production in favour of machines as against workforce. In this period of recession, the need for retrenchment of employees also arose. All these factors changed the perspective of job design.

It was only in the 1990s that a real challenge in terms of optimum job design and work organization arose to respond to the fast-changing environmental conditions. This resulted in giving a greater importance and adopting a new approach towards job design.

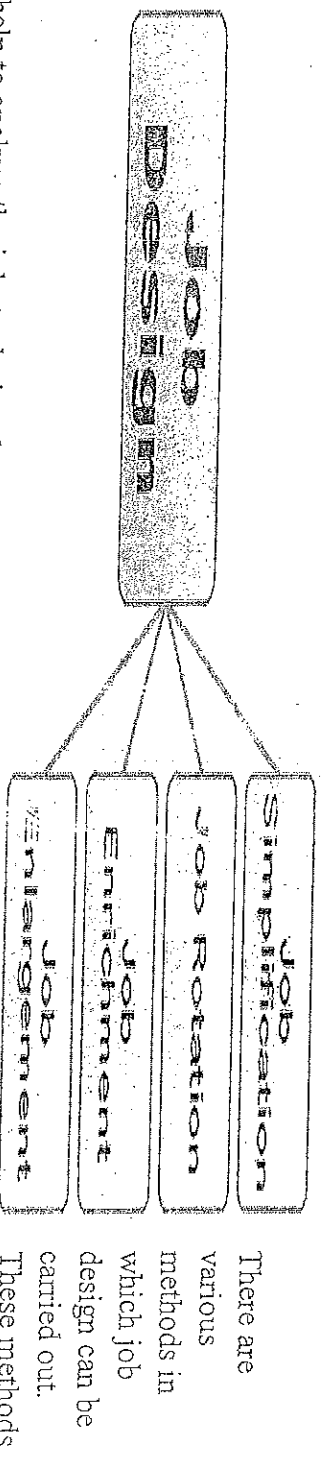
There are clearly many alternative designs for any given job. For this reason, an understanding of what the job design is supposed to achieve is particularly important.

As before, the performance objectives give us a guide to what is relevant in job design decisions:

1. **Quality:** The ability of staff to produce high-quality products and services can be affected by job design. This includes avoiding errors in the short term, but also includes designing jobs which encourage staff to improve that job itself in such a way as to make errors less likely.
2. **Speed:** Sometimes speed of response is the dominant objective to be achieved in job design. For example, the way in which the jobs of emergency service personnel are organised (the range of tasks for which they are trained, the sequence of activities in their approved procedures, the autonomy which they have to decide on appropriate action, and so on) will go a long way to determine their ability to respond promptly to emergencies and perhaps save lives.
3. **Dependability:** Dependable supply of goods and services is usually influenced, in some way, by job design. For example, in the postal services, working arrangements, multiskilling, accurate use of sorting equipment through good staff machine interface design, and the 'design' of postal staff's clothing, can all aid dependable delivery of letters and parcels.
4. **Flexibility:** Job design can affect the ability of the operation to change the nature of its activities. New product or service flexibility, mix flexibility, volume flexibility and delivery flexibility are all dependent to some extent on job design. For example, staff who have been trained in several tasks (multi-skilling) may find it easier to cope with a wide variety of models and new product or service introductions.
5. **Cost:** All the elements of job design described above will have an effect on the productivity, and therefore, the cost of the job. Productivity in this context means the ratio of output to labour input - for example, the number of customers served per hour or the number of products made per worker. In addition, job design will influence two other particularly important objectives.
6. **Health and Safety:** Whatever else a job design achieves, it must not endanger the well-being of the person who does the job, other staff of the operation, the customers who might be present in the operation, or those who use any products made by the operation.
7. **Quality of Working Life:** The design of any job should take into account its effect on job security, intrinsic interest, and variety, opportunities for development, stress level and attitude of the person performing the job.

METHODS OF JOB DESIGN

There are several important methods and techniques that the management uses while designing the jobs. These are:



help to analyse the job, to design the contents of and to decide how the job must be carried out.

1. **Job simplification:** Is a widely used process in many organizations. In simple terms, job simplification means simplifying a complex job into several simpler parts. It is intended to improve the productivity of the individual by lessening the work-pressure on him. The work-pressure includes strenuous physical activity, mental pressure, and psychological stress caused due to complex jobs.

A complex job is considered, and then it is broken down into smaller and simpler parts. These simpler parts are reach assigned to employees, and they are employed to work on that part of the job only. The employees' work is repetitive, and that increases the expertise of the employee on that particular job. Therefore, it leads to individual skill formation of the employee as well as increases the productivity of the company. It is a component of job design where job rotation and job enlargement is also a part.

Job Simplification Advantages:

- Since the job is broken down and simplified, it makes the job a lot easier than complex jobs.
 - Since an employee is continuously associated with a narrow line of job, it increases the skill and productivity of the employee.
 - More straightforward jobs reduce various kinds of physical and mental stress that the employees otherwise go through due to complex jobs.
 - The training process of staff becomes simpler as the jobs are simplified.
 - It is easier to replace unproductive employees with newer ones as the training attached is not very complicated.
 - It is a cost-effective method as the cost incurred to the organization after job simplification is practically negligible.
 - It achieves specialization.
 - Employees under job simplification are prone to get higher rewards.
- Job Simplification Disadvantages:**
- The limitations of job simplification are listed as follows:
- It affects the quality of work of the employee in the long-run due to the constant repetition of the job.
 - Presence of monotony in the employees due to the same narrow nature of the job.
 - Increased tardiness among the employees.
 - Even though the productivity increases initially, in the long run, the productivity of work due to repetition goes on decreasing.
 - Increasing absenteeism among the employees.
 - The companies are most likely having to increase the wages to retain the employees in the job.
 - The process decreases the pressure and complexity of the job upon the employees but increases the frustration.

In totality, job simplification can be used as a short-term approach to achieve short-term goals. However, in the long run, it does more harm than good. The productivity and cost-effectiveness that it achieves in the short-term get overshadowed by the decreasing productivity and employee tardiness in the long-run.

This is why several alternatives are preferred in place of job simplification. Even though it is part and parcel of job design, the other components like job rotation and job design have better benefits and lesser drawbacks in terms of both the employee and the organization.

2. Job Rotation: Involves shifting a person from one job to another, so that he is able to understand and learn what each job involves. ~~The company~~ tracks his performance on every job and decides whether he can perform the job in an ideal manner. Based on this he is finally given a particular posting.

Job rotation is done to decide the final posting for the employee. e.g., Mr. A is assigned to the marketing department while he learns all the jobs to be performed for marketing at his level in the organization. After this, he is shifted to the sales department and to the finance department and so on.

He is finally placed in the department in which he shows the best performance. Job rotation gives an idea about the jobs to be performed at every level. Once a person is able to understand this he is in a better understanding of the working of organization.

Advantages of Job Rotation:

(a) Avoid Monopoly: Job rotation helps to avoid monopoly of job and enable the employee to learn new things and therefore enjoy his job.

(b) Provides an Opportunity to Broaden One's Knowledge: Due to job rotation the person is able to learn different job in the organization this broadens his knowledge.

(c) Avoiding Fraudulent Practice: In an organization like bank jobs rotation is undertaken to prevent employees from doing any kind of fraud i.e., if a person is handling a particular job for a very long time he will be able to find loopholes in the system and use them for his benefit and indulge (participate) in fraudulent practices job rotation avoids this.

Disadvantages of Job Rotation:

(a) **Frequent Interruption:** Job rotation results in frequent interruption of work. A person who is doing a particular job and gets it comfortable suddenly finds himself shifted to another job or department. This interrupts the work in both the departments.

(b) **Reduces Uniformity in Quality:** Quality of work done by a trained worker is different from that of a new worker. When a new worker "T" shifted or rotated in the department, he takes time to learn the new job, makes mistakes, in the process and affects the quality of the job.

(c) **Misunderstanding with the Union Member:** Sometimes job rotation may lead to misunderstanding with member of the union. The union might think that employees are being harassed and more work is being taken from them. In reality this is not the case.

3. **Job Enlargement:** Is another method of job design when any organization wishes to adopt proper job design it can opt for job enlargement. Job enlargement involves combining various activities at the same level in the organization and adding them to the existing job. It increases the scope of the job.

It is also called the horizontal expansion of job activities.

Advantages of Job Enlargement:

(a) **Variety of Skills:** Job enlargement helps the organization to improve and increase the skills of the employee due to organization as well as the individual benefit.

(b) **Improve Earning Capacity:** Due to job enlargement the person learns many new activities. When such people apply for jobs to other companies they can bargain for more salary.

(c) **Wide Range of Activities:** Job enlargement provides wide range of activities for employees. Since a single employee handles multiple activities the company can try and reduce the number of employees. This reduces the salary bill for the company.

Disadvantages of Job Enlargement:

(a) **Increases Work Burden:** Job enlargement increases the work of the employee and not every company provides incentives and extra salary for extra work. Therefore, the efforts of the individual may remain unrecognized.

(b) **Increasing Frustration of the Employee:** In many cases employees end up being frustrated because increased activities do not result in increased salaries.

(c) **Problem with Union Members:** Many union members may misunderstand job enlargement as exploitation of worker and may take objection to it.

4. **Job Enrichment:** Is a term given by Fredrick Herzberg. According to him, a few motivators are added to a job to make it more rewarding, challenging and interesting. According to Herzberg, the motivating factors to an existing job to make it more interesting.

The motivating factors can be:

(a) Giving more freedom.

(b) Encouraging participation.

(c) Giving employees the freedom to select the method of working.

(d) Allowing employees to select the place at which they would like to work.

(e) Allowing workers to select the tools that they require on the job.

(f) Allowing workers to decide the layout of plant or office.

Job enrichment gives lot of freedom to the employee but at the same time increases the responsibility. Some workers are power and responsibility hungry. Job enrichment satisfies the needs of employees.

Advantages of Job Enrichment:

(a) **Interesting and Challenging Job:** When a certain amount of power is given to the employees it makes the job more challenging for them, we can say that job enrichment is a method of employee empowerment.

(b) **Improves Decision-Making:** Through job enrichment we can improve the decision-making ability of the employee by asking him to decide on factory layout, method and style of working.

(e) **Identifies Future Managerial Caliber:** When we provide decision-making opportunities to employees, we can identify which employee is better than other in decision-making and mark employees for further promotion.

(d) **Identifies Higher Order Needs of Employees:** This model identifies higher order needs of the employee. Abraham Maslow's theory of motivation speaks of these higher order needs, e.g., ego and esteemed needs, self-actualization etc. These needs can be achieved through job enrichment.

(e) **Reduces Work Load of Superiors:** Job enrichment reduces the work load of senior staff. When decisions are taken by juniors the seniors work load is reduced.

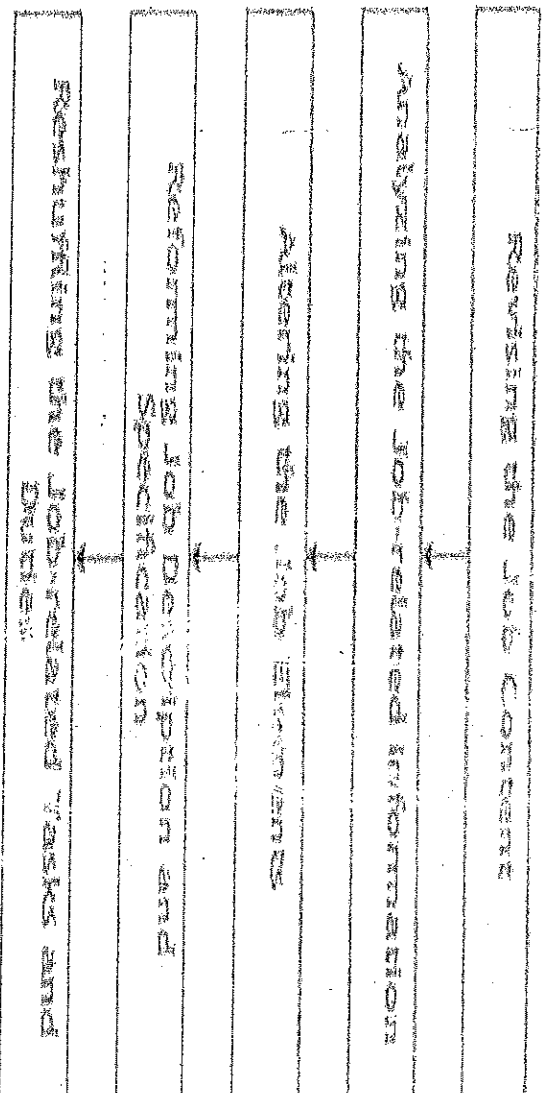
Disadvantages of Job Enrichment:

- (a) Job enrichment is based on the assumptions that workers have complete knowledge to take decisions and they have the right attitude. In reality this might not be the case due to which there can be problems in working.
- (b) Job enrichment has negative implications i.e., along with usual work decision-making work is also given to the employees and not many may be comfortable with this.
- (c) Superiors may feel that power is being taken away from them and given to the junior's. This might lead to ego problems.
- (d) This method will only work in certain situations. Some jobs already give a lot of freedom and responsibility; this method will not work for such jobs.
- (e) Some people are internally dissatisfied with the organization. For such people no amount of job enrichment can solve the problem.

Job redesign is a medium-term strategy in which organizations focus on work processes and assess whether specific functions, products, and/or services should be changed or eliminated. This strategy, which is frequently combined with workforce reduction, includes such things as the elimination of functions, groups, or divisions; the reduction of bureaucracy; and the redesign of the tasks that employees perform. Since some planning is from the problem of eth organisation simply doing what it always has done but with fewer people.

RATIONALE OF JOB REDESIGN

Restructuring the elements including tasks, duties and responsibilities of a specific job in order to make it more encouraging and inspiring for the employees or workers is known as job redesigning. The process includes revising, analyzing, altering, reforming and restructuring the job-related content and dimensions to increase the variety of assignments and functions to motivate employees and make them feel as an important asset of the organisation. The main objective of conducting job redesigning is to place the right person at the right job and get the maximum output while increasing their level of satisfaction.



Job Redesign Process

Revising the Job Content: Job redesigning process involves recollecting and revising job-related information to determine the inconsistency between person and the job.

Analyzing Job-related Information: Once the job analyst is thorough with recollecting and revising the job content, analyzing the discrepancies is the next step. It is done to determine the hindrances in performing job-related tasks and duties and investigate why an employee is not able to deliver the expected output.

Altering the Job Elements: The next step is to amend the job elements. It may include cut back on extra responsibilities or addition of more functions and a higher degree of accountability. The basic aim of altering the job content is to design a job in such a manner that encourages employees to work harder and perform better.

Reformation of Job Description and Specification: After altering the job elements, a job analyst needs to reform the job description and specification in order to make sure that the worker placed at a particular place is able to deliver what is expected of him.

Reshuffling the Job-related Tasks and Duties: Next is to reallocation of new or altered tasks and functions to employees. It may be done by rotating, enriching, enlarging and engineering the job. The idea is to motivate the performers while increasing their satisfaction level.

Advantages of Job Redesigning

Enhances the Quality of Work-Life: Job redesigning motivates the employees and enhances the quality of their work life. It increases their on-the-job productivity and encourages them to perform better.

Increases Organization's and Employees' Productivity: Altering their job functions and duties makes employees much comfortable and adds to their satisfaction level. The unambiguous job responsibilities and tasks motivate them to work harder and give their best output. Not only this, it also results in increased productivity of an organization.

Brings the Sense of Belongingness in Employees: Redesigning job and allowing employees to do what they are good at creates a sense of belongingness in them towards the organisation. It is an effective strategy to retain the talent in the organisation and encouraging them to carry out their responsibilities in a better fashion.

Creates a Right Person-Job Fit: Job Redesigning plays an important role in creating a right person-job fit while harnessing the full potential of employees. It helps organization as well as employees in achieving their targets or goals.

✓ HUMAN CAPITAL PLANNING

Human Capital planning is a systematic process for identifying the resource pool and its capabilities to meet organisation goals and developing the strategies to meet the requirements to fulfill those goals.

As defined by Bulla and Scott, human resource planning is 'the process for ensuring that the human resource requirements of an organisation are identified and plans are made for satisfying those requirements'. Reilly defined (workforce planning) as: 'A process in which an organisation attempts to estimate the demand for labour and evaluate the size, nature and sources of supply which will be required to meet the demand. Human resource planning includes creating an employer brand, retention strategy, absence management strategy, flexibility strategy, (talent management) strategy, (recruitment) and selection strategy.

Organisation Structure Planning is a continuous process that ensures that an organisation has the right Human Capital in the right jobs at the right time and in the right way.

HCM Planning involves

- Systematic process that is integrated, methodical, and ongoing
- Determine the numbers and skills of needed workers and where and when they will be needed
- Identify the actions to be taken to attract and retain the number and types of workers that the organisation needs
- Organisational collaboration
- Educating the staff on the behavior and attitude towards the customer

CAUSES OF DEMAND FOR HCM

Human capital management is important to organisations in myriad areas, ranging from strategic planning to company image. HC practitioners in a small business who have well-rounded expertise provide a number of services to employees. The areas in which HC maintains control can enhance an employees' experience throughout the workforce while strengthening business operations.

1. Strategic Management: HC improves the company's bottom line with its knowledge of how human capital affects organisational success. Leaders with expertise in HR strategic management participate in corporate decision-making that underlies current staffing assessments and projections for future workforce needs based on business demand.

2. Wages and Salaries: HC compensation specialists develop realistic compensation structures that set company wages competitive with other businesses in the area, in the same industry or companies competing for employees with similar skills. They conduct extensive wage and salary surveys to maintain compensation costs in line with the organisation's current financial status and projected revenue.

3. Analyzing Benefits: Benefits specialists can reduce the company's costs associated with turnover, attrition and hiring replacement workers. They are important to the organisation because they have the skills and expertise necessary to negotiate group benefit packages for employees, within the organisation's budget and consistent with economic conditions. They also are familiar with employee benefits most likely to attract and retain workers. This can reduce the company's costs associated with turnover, attrition and hiring replacement workers.

4. Safety and Risk Management: Employers have an obligation to provide safe working conditions. Workplace safety and risk management specialists from the HR area manage compliance with U.S. Occupational Safety and Health Administration regulations through maintaining accurate work logs and records, and developing programs that reduce the number of workplace injuries and fatalities. Workplace safety specialists also engage employees in promoting awareness and safe handling of dangerous equipment and hazardous chemicals.

5. Minimizing Liability Issues: HC employee relations specialists minimize the organisation's exposure and liability related to allegations of unfair employment practices. They identify, investigate and resolve workplace issues that, left unattended, could spiral out of control and embroil the organisation in legal matters pertaining to federal and state anti-discrimination and harassment laws.

6. Training and Development: HC training and development specialists coordinate new employee orientation, an essential step in forging a strong employer-employee relationship. The training and development area of HC also provides training that supports the company's fair employment practices and employee development to prepare aspiring leaders for supervisory and management roles.

7. Employee Satisfaction: Employee relations specialists in HC help the organisation achieve high performance, morale and satisfaction levels throughout the workforce, by creating ways to strengthen the employer-employee relationship. They administer employee opinion surveys, conduct focus groups and seek employee input regarding job satisfaction and ways the employer can sustain good working relationships.

8. Recruitment and On-boarding: HC recruiters manage the employment process from screening resumes to scheduling interviews to processing new employees. Typically, they determine the most effective methods for recruiting applicants, including assessing which applicant tracking systems are best suited for the organisation's needs.

9. Hiring Processes: HC professionals work closely with hiring managers to effect good hiring decisions, according to the organisation's workforce needs. They provide guidance to managers who aren't familiar with HC or standard hiring processes to ensure that the company extends offers to suitable candidates.

10. Maintaining Compliance: HC workers ensure that the organization complies with federal state employment laws. They complete paperwork necessary for documenting that the company's employees are eligible to work

in the U.S. They also monitor compliance with applicable laws for organisations that receive federal or state government contracts, through maintaining applicant flow logs, written affirmative action plans and disparate impact analyses.

FORECASTING TECHNIQUE IN HUMAN CAPITAL PLANNING

Determining the human resources required by an organisation involves identifying the jobs, skills and knowledge required by those jobs and the performance level of the current workforce. Using this data, you can forecast hiring or reorganising needs for both the short and long term. Forecasting methods typically includes using past data to predict future staffing. Additionally, organisations can use survey, benchmarking and modeling techniques to estimate workforce staffing numbers. Use several methods and cross-check your findings to obtain the most accurate results.

1. Analyze your work operations. Conduct a detailed job analysis for each function in your company and list the policies and procedures required to complete each task. Document the standard output per hour per person. Determine the desired level of output in order to calculate the number of people you need to produce that volume of operations.
2. Conduct a series of online surveys using the Delphi technique--asking several experts in your organisation their opinion on forecasting needs based on their experience managing the employees in your organisation who directly contribute to the creation of products or services. Experts typically do not share their opinions with each other. Create and distribute your survey using a tool such as Zoomerang, SurveyMonkey or Qualtrics to gather your data. Examine the input and prepare a forecast. Send the forecast to the original participants to get their new input. Repeat the survey process until all participants reach consensus that the forecast appears accurate.
3. Use calculators available from the Society of Human Resource Management website (see Resources) to calculate metrics such as the "average length of service" and "90-day turnover" rates based on your current human resources data. Use this information to help predict future staffing needs.
4. Read reports available from the Department of Commerce on workforce planning needs to help you learn about trends and forecast your budget for hiring, training and paying staff required to compete in a global marketplace. For example, the Department of Defense estimates it spends about \$250 annually to support workforce foreign language needs.
5. Document your forecasting process and follow it consistently throughout your company so that all managers align their forecast to your strategic direction, identify skill gaps, create action plans to address shortages, implement plans to hire and retain skilled personnel and evaluate forecasts on an ongoing basis. Using this model, you can more accurately guide workforce planning efforts for all skill areas such as information technology and knowledge management.

HC DEMAND FORECASTING

Human capital (HC) demand forecasting is the process of estimating the future quantity and quality of people required. The basis of the forecast must be the annual budget and long-term corporate plan, translated into activity levels for each function and department. In a manufacturing company, the sales budget would be translated into a production plan giving the number and type of products to be produced in each period. From this information, the number of hours to be worked by each skilled category to make the quota for each period, would be computed. Once the hours are available, determining the quality and quantity of personnel will be the logical step.

HC Demand forecasting must consider several factors--both external as well as internal. Among the external factors are competition (foreign and domestic), economic climate, laws and regulatory bodies, changes in technology, and social factors. Internal factors include budget constraints, production levels, new products and services, organisational structure, and employee separations. Demand forecasting is common among organisations, though they may not do personnel-s apply forecasting.

There are several good reasons to conduct demand forecasting. It can help:

CCP

Quantify the jobs necessary for producing a given number of goods, or offering a given amount of services.

Determine what staff-mix is desirable in the future

Assess appropriate staffing levels in different parts of the organization so as to avoid unnecessary costs.

Prevent shortages of people where and when they are needed most; and

Monitor compliance with legal requirements with regard to reservation of jobs.

8 Forecasting Techniques: HC Forecasting techniques vary from simple to sophisticated ones. Before describing each technique, it may be stated that organisations generally follow more than one technique. The techniques are:

Ratio-trend Analysis: This is the quickest HR forecasting technique. The technique involves studying past ratios, say, between the number of workers and sales in an organisation and forecasting future ratios, making some allowance or changes in the organisation or its methods.

Regression Analysis : This is similar to ratio-trend analysis in that forecast is based on the relationship between sales volume and employee size. However, regression analysis is more statistically sophisticated. A firm first draws a diagram depicting the relationship between sales and workforce size. It then calculates regression line — a line that cuts right through the centre of the points on the diagram. By observing the regression line, one can find out number of employees required at each volume of sales.

Work-study Techniques: Work-study techniques can be used when it is possible to apply work measurement to calculate length of operations and the amount of labor required. The starting point in a manufacturing company is the production budget, prepared in terms of volumes of saleable products for the company as a whole, or volumes of output for individual departments.

The budgets of productive hours are then compiled using standard hours for direct labor. The standard hours per unit of output are then multiplied by the planned volume of units to be produced to give the total number of planned hours for the period. This is then divided by the number of actual working hours for an individual operator to show the number of operators required.

Flow Models Flow models are very frequently associated with forecasting personnel needs. The simplest one is called the Markov model. In this technique, the forecasters will:

HC SUPPLY FORECASTING - succession analysis - Markov analysis Human Resource supply forecasting is the process of estimating availability of human resource followed after demand for testing of human resource. For forecasting supply of human resource, we need to consider internal and external supply. Internal supply of human resource available by way of transfers, promotions, retired employees & recall of laid-off employees, etc. Source of external supply of human resource is availability of labour force in the market and new recruitment.

External supply of human resource depends on some factors mentioned below.

Supply and demand of jobs.

literacy rate of nation.

rate of population

industry and expected growth rate and levels

technological development.

compensation system based on education, experience, skill and age.

RECRUITMENT

Recruitment is a process of finding and attracting the potential resources for filling up the vacant positions in an organisation. It sources the candidates with the abilities and attitude, which are required for achieving the objectives of an organisation.

Recruitment process is a process of identifying the jobs vacancy, analyzing the job requirements, reviewing applications, screening, short listing and selecting the right candidate.

Recruitment process is the first step in creating a powerful resource base. The process undergoes a systematic procedure starting from sourcing the resources to arranging and conducting interviews and finally selecting the right candidates.

Recruitment Planning- Recruitment planning is the first step of the recruitment process, where the vacant positions are analyzed and described. It includes job specifications and its nature, experience, qualifications and skills required for the job, etc.

A structured recruitment plan is mandatory to attract potential candidates from a pool of candidates. The potential candidates should be qualified, experienced with a capability to take the responsibilities required to achieve the objectives of the organisation.

Identifying Vacancy: The first and foremost process of recruitment plan is identifying the vacancy. This process begins with receiving the requisition for recruitments from different department of the organisation to the HR Department, which contains –

- Number of posts to be filled
- Number of positions
- Duties and responsibilities to be performed
- Qualification and experience required

When a vacancy is identified, it the responsibility of the sourcing manager to ascertain whether the position is required or not, permanent or temporary, full-time or part-time, etc. These parameters should be evaluated before commencing recruitment. Proper identifying, planning and evaluating leads to hiring of the right resource for the team and the organisation.

Job Analysis: Is a process of identifying, analyzing, and determining the duties, responsibilities, skills, abilities, and work environment of a specific job. These factors help in identifying what a job demands and what an employee must possess in performing a job productively.

Job analysis helps in understanding what tasks are important and how to perform them. Its purpose is to establish and document the **job relatedness** of employment procedures such as selection, training, compensation, and performance appraisal.

The following steps are important in analyzing a job -

- Recording and collecting job information
- Accuracy in checking the job information
- Generating job description based on the information
- Determining the skills, knowledge and skills, which are required for the job

The immediate products of job analysis are **job descriptions** and **job specifications**.

Job Description: Is an important document, which is descriptive in nature and contains the final statement of the job analysis. This description is very important for a successful recruitment process. Job description provides information about the scope of job roles, responsibilities and the positioning of the job in the organisation. And this data gives the employer and the organisation a clear idea of what an employee must do to meet the requirement of his job responsibilities.

Job description is generated for fulfilling the following processes –

- Classification and ranking of jobs
- Placing and orientation of new resources
- Promotions and transfers
- Describing the career path
- Future development of work standards
- A job description provides information on the following elements –
 - Job Title / Job Identification / Organization Position
 - Job Location

Summary of Job

Job Duties

Machines, Materials and Equipment

Process of Supervision

Working Conditions

Health Hazards

Job Specification: Focuses on the specifications of the candidate, whom the HR team is going to hire. The first

step in job specification is preparing the list of all jobs in the organisation and its locations. The second step is to generate the information of each job.

Physical specifications

Mental specifications

Physical features

Emotional specifications

Behavioral specifications

A job specification document provides information on the following elements –

Qualification, Experiences, Training and development, Skills requirements, Work responsibilities, Emotional, characteristics and Planning of career.

Job Evaluation: Is a comparative process of analyzing, assessing, and determining the relative value/worth of a job in relation to the other jobs in an organisation.

The main objective of job evaluation is to analyze and determine which job commands how much pay.

Recruitment Strategy: Is the second step of the recruitment process, where a strategy is prepared for hiring the resources. After completing the preparation of job descriptions and job specifications, the next step is to decide which strategy to adopt for recruiting the potential candidates for the organisation.

While preparing a recruitment strategy, the HR team considers the following points –

Make or buy employees, Types of recruitment, Geographical area, Recruitment sources. The development of a recruitment strategy is a long process, but having a right strategy is mandatory to attract the right candidates.

The steps involved in developing a recruitment strategy include –

Setting up a board team, Analyzing HR strategy, Collection of available data, Analyzing the collected data and Setting the recruitment strategy

Searching the Right Candidates: Is the process of recruitment where the resources are sourced depending upon the requirement of the job. After the recruitment strategy is done, the searching of candidates will be initialized.

This process consists of two steps –

Source activation – Once the line manager verifies and permits the existence of the vacancy, the search for candidates starts.

Selling – Here, the organization selects the media through which the communication of vacancies reaches the prospective candidates.

SOURCES OF RECRUITMENT

There are two broad sources of recruitment – internal and external. A brief description of each source follows:

1. **Internal Sources of Recruitment:** Existing employees of an organization provide the internal sources in the main. Whenever any vacancy arises, someone from within the organisation is upgraded, transferred, promoted or even demoted. Retrenched employees, retired employees, dependents deceased employees may also constitute the internal sources.

a. **Promotion and Transfers:** The most important source of filling vacancies from within is through transfers and promotions. A transfer is a lateral movement within the same grade, from one job to another. They may lead to changes in duties and responsibilities, working conditions, etc. but not necessarily salary. Promotion, on

the other hand, involves movement of employees from a lower level position to a higher level position accompanied by (usually) changes in authority, duties, responsibilities, status and remuneration.

b. Job posting: Job posting is another way of hiring people from within. In job posting, the organisation publicizes job openings on bulletin boards, electronic media and similar outlets. One of the important advantages of this method is that it offers a chance to highly qualified applicants working within the company to look for growth opportunities within the company without looking for external opportunities.

c. Employee referrals: Employee referral means using personal contacts to locate job opportunities. It is a recommendation from a current employee regarding a job applicant. The logic behind employee referral is that "it takes one to know one". Employees working in the organization, in this case, are encouraged to recommend the names of their friends working in other organisations for a possible vacancy in the near future. In fact, this has become a popular way of recruiting people in the highly competitive IT industry now-a-days. Companies offer rewards also to employees whose recommendations are accepted – after the routine screening and examining process is over and job offers extended to the suggested candidates. As a goodwill gesture, companies also consider the names recommended by persons from time to time.

2. External Sources of Recruitment: The sources of recruitment that are used to hire people from outside the organisation may be many but a few most important among them are discussed below:

a. Advertisements: When an organisation desires to communicate to the public that it has a vacancy, advertisement is one of the most popular methods used. However, the media of advertisement preferred is often determined by the type of job.

As, of fact the higher the position in the organisation, the more specialized the skills, or the shorter the supply of the resource in the labor force, the more widely dispersed the advertisement is likely to be. The search for a manager, for example, might include advertisement through internet, in national dailies, specialized journals, etc. on the other hand, the advertisement for lower level jobs is usually confined to the local dailies.

Many organisations prefer what is referred to as a blind advertisement in which identification of the organisations is not disclosed. Respondents are usually asked to reply to a post office box number. This is especially preferred when the position that the organisation wishes to fill is expected to draw an extraordinary number of applications. Using the blind ad relieves the organisation from having to respond to any individual who applies. This method is appropriate when (A) the organisation intends to reach a large target group and (b) the organisation wants a fairly good number of potential candidates who are geographically dispersed to apply for the advertised vacancies.

i. Internet ads: In the age of globalization prospective candidates for specialized jobs in large organisations, especially MNCs may be attracted through internet ads. Such ads do have world wide access to highly qualified people having internet connections.

ii. Newspaper ads: Ads in newspapers may be published without much of a lead time. It has flexibility in terms of information and can conveniently target a specific geographic location. On the negative side, newspaper ads tend to attract only those who are actively seeking employment at that point of time, while some of the best candidates who are well paid and challenged by their current jobs may not be aware of such openings

iii. Television and radio ads: These ads are more likely to reach individuals who are not actively seeking employment, they are more likely to stand out distinctly, they help the organisation to target the audience more selectively and they offer considerable scope for designing the message creatively.

b. Employment agencies: There are three forms of employment agencies – public employment agencies, private employment agencies, and management consulting firms.

i. Public employment agencies: Most public agencies tend to attract and list individuals who are unskilled or had minimum training this, of course, does not reflect on the agency's competence. Rather, it reflects the image of public agencies. Such agencies are perceived by prospective applicants as having few high skilled jobs, and employers also tend to see such agencies as having few high skilled applicants. Therefore public

agencies tend to attract and place predominantly low skilled workers.

Private Employment Agencies: How does a private agency, which has to charge for its services, compete with state agencies that give their services almost free? Clearly, they must do something different from what the public agencies do, or at least give that impression.

The major difference between public and private employment agencies is their image. That is, private agencies are believed to offer positions to applicants of a higher caliber. Private agencies also provide a more complete line of services. They advertise the position, screen applicants against the criteria specified by the employer, and usually provide a guarantee covering six months or a year as protection to the employer should the applicant not perform satisfactorily.

iii. Headhunters: The third agency source consists of head hunting management consulting or executives search firms. Agencies of this type are actually specialized private employment agencies. They specialize in middle-level and top-level executive placements. In addition to the level at which they recruit, the features that distinguish executive search agencies from most private employment agencies are their fees, their nationwide contacts, and the thoroughness of their investigations.

c. Unsolicited Applicants / Walk-ins: Companies generally receive unsolicited applications from job seekers at various points of time. The number of such applications depends on economic condition, image of the company and job seeker's perception of the types of jobs that may be available, etc. such applications are generally kept in a data bank and whenever suitable vacancy arises, the company would intimate the candidate to apply through formal channel.

d. Temporary help Services: This can be a source of employees when individuals are needed on a temporary basis. Temporary employees are particularly valuable in meeting short term fluctuations in personnel needs. The firms that take resort to such type of recruiting source also enjoy the benefit of avoiding the burden of excess employees.

e. Campus Recruitment: It is a method of recruiting by visiting and participating in university campuses and their placement centers. Here the recruiters visit reputed education institutions with a view to pick up job aspirants having requisite technical or professional skills. Job seekers are provided information about the jobs and the recruiters, in turn, get a snapshot of job seekers through constant interchange of information with respective institutions. A preliminary screening is done within the campus and the shortlisted students are then subjected to the remainder of the selection process.

f. Professional Organisation: Organisation like the chambers of commerce and industries, engineer's institutions, management associations, etc. may act as external sources of recruitment. These lists to members. It is also common practice to provide placement facilities at regional and national meetings where individuals looking for employment and companies looking for employees can find each other.

Activities Associated with Recruitment in Human Capital Management

Recruitment and selection is a human resources discipline that involves a number of steps to making hiring decisions, from posting job vacancies to ordering background investigations and pre-employment drug tests. HC management strategy for recruitment activities and employee selection involves assessing the effectiveness of recruiters and hiring managers, tracking cost per hire and evaluating turnover attributed to poor hiring decisions Strategy.

Human capital management strategy determines, among other things, whether recruitment and selection functions are handled in-house. The trend towards outsourcing recruiting functions is prevalent among small businesses that don't have the capital, resources or expertise necessary to manage the full life cycle of the recruitment and selection process.

Job Posting: Is an essential component of recruitment because the venue often determines an employer's ability to attract qualified applicants. For example, using LinkedIn and Indeed.com job boards are low-cost and effective ways to advertise job vacancies. However, recruiters who attend professional association conferences

or participate in campus recruiting events also may attract qualified applicants, albeit at a higher cost than sourcing candidates via Internet posting and advertising using professional networking and social media sites.

Interview Process: HC management determines the process for interviewing candidates. For many employers, recruiters conduct preliminary screening by comparing applications and resumes to job requirements. After the initial screening, telephone interviews narrow the qualified candidate pool for face-to-face interviews. If the employer's managers are entrusted with making hiring decisions, they might have the final word on candidates they meet in person for second-round interviews.

Pre-Employment Steps: Include verifying work history, criminal records and consumer reports for candidates to whom the company extends conditional job offers. Small businesses often outsource background checks because they can take too much time from an in-house recruiter's regular job duties. A recruiter may not have the expertise to conduct an effective background investigation.

Cost Per Hire: Importantly, HR management ensures that the selection process is not so long that it discourages candidates. Prolonged selection processes can result in losing qualified candidates to competitors with streamlined hiring processes. Lengthy selection processes also create higher costs per hire. Employers calculate cost per hire based on the time recruiters spend sourcing candidates, evaluating qualifications and interacting with hiring managers, plus fees for advertising, background investigations and drug tests.

Minimizing cost per hire is an HR management strategy.